Trading Strategy Playbook

OSPREYFX

Educational

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Inside You’ll Discover

1 - Introduction

Millions of newcomers try their hand at trading every year, but many are unsuccessful. A large proportion of those that fall short have one thing in common, they haven't mastered the basic skills needed to steer the odds in their favor. Nevertheless, if you have grit and are willing to put in some elbow grease the road to success can be a less wavering one.

Financial markets have evolved. We are in an era of trading that is dominated by new technology, Artificial Intelligence, and deep learning. These advancements have been a key contributor in the increasing numbers entering the financial arena in recent years. If we look at both the Forex & Cryptocurrency market as an example:

The Forex industry which is currently the largest and most liquid market globally and with daily trading volumes of $6.6 trillion who wouldn't want in on this action?

Now the prodigy, Cryptocurrency who recently reached a global market cap of over $1trillion with Bitcoin representing 69% of this colossal value. Is it any wonder people are hedging their bets in the digital asset space!

Interested in getting your feet wet in the financial ocean? Is making money and becoming financially independent a top priority in your life goals? Then this playbook is for you!

This plain-English guide shows you how the many different trading styles and strategies work, identifies their pros and cons alike, and gets you started with trader's tips to help with a plan of action.

From the best-known & renegade strategies to the nitty-gritty of daily trading approaches this playbook will give you the knowledge and confidence you require to help keep a cool head, manage risk, and make informed decisions as you enter and exit market positions.

2 - Arm Every Strategy with the Basics

Before you get bogged down in the different trading styles, indicators, and technical analysis you should focus on the basics of every strategy. To build a robust trading strategy and help you avoid over complicating the process incorporate these invaluable ingredients below:

1- Money Management

Always ask yourself how much you are willing to risk? It is recommended that traders risk no more than 1-2% of their trading portfolio/capital on a single trade. Setting stop-loss orders and profit-taking points will help with your survival in the markets.

2 - Avoid Running, Before you can Walk

Whilst you are finding your feet start small. Find your strengths and build from here. Choose a market you are comfortable let's say the Forex market and choose 2 pairs to trade in a single day. It's always better to master few than to be average on many.

3 - Master your Emotions

It's common for everyone to let their emotions cloud their better judgement. This can be particularly true when trading. If you are 5 coffees in and have been glued to the charts for hours on end it is only normal that emotions will creep in. Let analysis and your strategy guide you not fear, greed or angsts.

4 - Knowledge is Power

A deep understanding of how markets work is going to be an integral part of your success, but it doesn't stop there. Traders must stay informed. What is happening in the market/news? What market events are coming up that will potentially impact your trades? Various events from economic data releases to global health or environmental disasters can radically affect even the best thought-out trading plans. OspreyFX make it a goal to keep our traders informed both with **educational**

resources and with market **news.**

5 - Fools Rush in

In times of volatility or when markets seem bearish it is common to leap headfirst and while more experienced traders may be more equipped to read patterns, take some time to analyze. Stop and think about the positions you are opening and closing.

6 - Test, Test, Test

They best ally for any trader, beginner or pro is **demo account.** This effective tool will help sharpen your skills. A demo account is not only useful to trade and challenge yourself with real market conditions and less risk, but also a great environment to refine your strategy or experiment with new styles.

Factors Every Strategy Requires

When brewing up the perfect plan to tackle the markets, whether you are budding novice or trading guru you will need to consider 3 essential ingredients, these 3 elements will help make informed decisions and make you money.

Liquidity

Market liquidity is important for many reasons, but primarily because it enables traders to quickly open and close positions. A liquid market usually means less risk because there is always another trader willing to take the other side of a trade. When trading liquidity should be considered before every position is entered or exited.

Volatility

Volatility foe or friend? Put simply volatility presents opportunities for traders and highlights their potential profit potential. The more volatility the higher profit or loss you may make. Every trader that aims to trade successfully they need to understand how to identify a volatile market. The Crypto market is predisposed by its volatility as price movements are less predictable.

Volume

This will give traders an indication of the number of times an asset has been traded over a certain period. High volume usually means more interest or that the asset is more secure. Furthermore, increased volume is commonly a good indicator of upward or downward swings. Volume indicators include ease of movement, Chaikin Money Flow, on balance volume, demand index and Forex index.

3 - Trading Styles

When you indulge yourself in the financial markets, you will find it synchronizing with your personality & lifestyle. You will soon see what style or strategy best suits your needs. Trading is divided into long-term and short-term traders or somewhere in the middle. When trading the financial markets, you will grapple with several popular trading styles. Trading is not a one fits all approach, and you may also find that your success using one strategy will not mirror that of someone else's success.

3.1 - The Rise of the Day Trader

3.1.1 - What is Day Trading

The idea of day trading has become increasingly more popular in recent years. The rise in technology has played a huge part here. Thanks to the "connected" nature of the 21st century traders have access to an array of mobile devices that further provides a wealth of real-time market analysis at their fingertips. The ability to access markets anywhere, anytime from any device has led to many more accessing the markets throughout the day.

But what is day trading? If you are interested in using this strategy, read on as we dive deep into the day trading ocean to help you fully understand how it works and ways you can minimize the risks involved.

Day Trading, a popular short-term trading style that sees traders open and close positions within the same day. With this trading technique a key goal is to generate profits from the immediate movements before the market closes.

Day traders are most known for trading the more liquid assets such as currencies, both Forex & Crypto, Equities & Commodities, these markets are quick to react within a day.

3.1.2 - How Day Trading Works?

Volatility is the name of the day trading game. Without short-term price-movement (volatility) opportunity ceases to exist. The more the market moves this means the more profit or dare we say it loss a trader can make.

Due to the opportunistic approach of day trading traders need to be continuously focused, as markets can be unpredictable. That is why risk management is a key ingredient in the day trading recipe for success. This will help keep losses small while letting winning trades run.

3.1.3 - What You Need to Know to Get Started

As intriguing and inviting as the markets can be, we advise traders to consider the 3 things below before you dive headfirst and start trading with real money.

1 - Knowledge is Everything

Your ability to make profits is solely down to your performance day in and day out. Attempting to day trade without any knowledge or training is like taking to the ski slopes with only one ski, it will be a slippery slope!

So, where do you start? Conducting research, reading books, or watching videos presenting day trading terminology and technical analysis (which we will explain a little bit later) will be a key the process of building your knowledge. However, remember, just because you read a book on flying doesn't mean you're ready to pilot a plane! Practice makes perfect, thus, putting the theory into practice will mean more chance of success.

2 - Develop a Bullet-Proof Strategy

Traders have 2 options here. They can either use an already proven strategy or they can simply forge their own path and design a plan to suit their own needs. Trying to create your own strategy will take a much longer period to see results. Whereas once you have mastered an existing profitable strategy you can then put your own spin on it.

Irrespective of your approach it is vital that you have a systematic methodology that you are comfortable in executing allowing you to build competency. Start small and conquer 1 strategy before you try take on 2 or 3.

3 - Test, test, with a sprinkle of testing

Would you invest huge capital in buying a car or house without taking it for a test drive first? The same analogy applies to trading. Before you risk real capital trial your trading strategy on a **demo account** first.

3.1.4 - Learning from the Greats

Successful day traders usually attain strong analytical skills and dynamically use various indicators and other technical tools. One great example of this is day trading prodigy Martin S. Schwartz, whose nerves of steel and great intellect gained him a substantial fortune and the deserving title of the "Pitbull". But what can we learn?

Schwartz used a 10-period exponential moving average which allowed him to distinguish between bullish & bearish scenarios within short-term trades. Furthermore, Schwartz never held positions for long periods and used technical indicators and received trading signals from economic reports to execute his trades.

Top Tip: Schwartz avoided focusing on the actual numbers printed on a headline of economic data rather he believed that the reaction of market participants after the release of the data was much more substantial to executing trades.

So, can you become a day trader? Yes, however it does require the right balance of elbow grease, skill and knowledge to work towards success. Day Trading can be a money-spinning pursuit, but it does not come without its risks.

Now you know the what and the how of day trading I bet you are wondering how much can you make? Alas, there is no definite answer to this broad question because this will be determined by different variants – market conditions, experience or how much investment you trade with etc.! Nevertheless, if we speak hypothetically the markets are open approximately 253 days per year, taking that you average $100 per day that is $25,300 per year. Not too shabby ay!

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3.2 - Scalping

3.2.1 - What is Scalping?

Are you a thrill seeker and enjoy working in fast paced environments? If yes, this could be for you. Scalp trading is one of the most popular forms of trading particularly with beginners and is known for its fast paced, mind-rattling and adrenaline inducing nature.

When we think of Scalpers, it is easy to imagine a hustler outside a sold-out event selling for quick profit. Representing the shortest-term trading style, scalpers enter and exit the market to skim small profits from a large number of trades.

3.2.2 - How Does Scalping Work?

From a market volatility perspective Scalpers believe it is easier and less risky to profit from small moves. A key to success in scalping is to set tight trading windows both in terms of price movements and timeframe.

With the main goal of skimming profits from trade volume, scalping comes with the opportunity cost of bigger gains. However, it requires discipline to exit trades once they have hit their profit target, likewise for exiting trades when the pre-set loss level has been hit rather than sitting back and waiting to see if they can earn more or if a losing trade will turn around.

3.2.4 - The Scalping Advantage

If you are quick and dexterous enough to execute your trades in shorter periods of time a key benefit to a scalping strategy is high potential ROI. Scalpers can benefit greatly from leverage, but they should always be cautious when trading with . With leverage trading one pip in your favour could offer substantial gain, however one pip against you can result in unforgiving losses.

A scalper aims to profit, or scalp, anywhere between 5 and 20 pips per transaction. They will then continue to execute trades throughout the day to turn small profits into something sizeable.

To make substantial profits, the scalper needs to trade larger volumes with high leverage so that the return on one pip can be maximized. For example, if a scalper aims at a profit of 10 to 20 pips while risking about 50% of it, the risk/reward ratio is 2:1. Meaning for every profitable trade, the trader can afford two losing trades to breakeven. Also, when trading standard lots, one pip is equal to approximately

$10.00, so a trader can make around $100.00 profit per transaction.

3.2.5 - Analysis of the Market

Traders who adopt scalping as an trading style rely on a set of real-time analysis and trades are executed based on technical analysis rather than fundamental analysis. Meaning that scalpers analysis is more focused on asset's past price movements. Using past data, they can observe time and sales patterns and predict future movements. Scalpers set up support and resistance levels based on moving averages to help them enter and exit trades effectively.

3.2.6 - Scalping vs Day Trading

Scalping and day trading are similar in that traders will open and close positions within a current trading session avoiding carrying trades into another trading period or holding positions overnight. While a day trader may look to execute a position once or twice, or sometimes even a few times per day, a scalper, on the other hand is more frenetic and places the emphasis on profiting from the volume of trades placed rather than focusing on increasing the capital gains on each position.

Scalping	Day Trading
Trade off a tick or one-minute charts	Trade off 5- and 30-minute charts
Trades are often executed in the smallest window (in the matter of seconds rather than hours)	Positions can be held if markets are open within a given trading day
Mostly trend following	Market analysis varies depending on the trader
Profit taking mentality: small, multiple & quick	Profit taking mentality: few with longer holds

3.2.7 - Learning from the Greats

Paul Rotter aka "The Flipper" was said to have made $65-78 million per year over a 10-year period scalping the most liquid markets at the Eurex. Who wouldn't be inspired by this lionized trading tycoon? Rotter was known to sometimes place up to 100 trades per day but how did he avoid overtrading? He simply defined daily goals for his profit and losses. He would set stopping limits before rushing into trades. Although taking risky positions he would mercilessly exit the trade as soon as it was going against him. This coupled with analysis of market data has helped him place him as one of the most successful scalpers of our time.

3.3 - Exploring Position Trading

3.3.1 - What is Position Trading & How it Works?

Unlike, scalping & day trading a position trader will hold an asset for an extended period. The holding period may vary from several weeks to months, sometimes even years making position trading the longest-term trading strategy other than the “buy and hold”.

The primary goal of position traders is to profit from the long-term performance of an instrument rather than the short-term price fluctuations.

This style of trading requires a deep understanding of fundamentals, an exceptional gut feeling in addition to an ability to a good foresight into how price may change in the long-term.

Position traders generally don’t mind waiting long periods for their return and carry conviction in their view. Meaning the random price fluctuations that may scare other traders they tend to ignore. So, if you have nerves of steel, angelic patience and are an independent thinker this trading style could be your perfect match.

3.3.2 - Pros & Cons of Position Trading

As position trading involves the holding of positions for a long time it can present many advantages for traders.

1 - Decreased Stress

One of the main advantages position traders have over traders who prefer short-term trading styles is less stress. Day traders and scalpers who thrive in high risk and market volatility run the potential of losing their profit, whereas most position traders can sleep soundly knowing their trades have what it takes to withstand wild market spikes.

2 - Immune to Price Fluctuations in the Short-term

As positions are opened for weeks or months it is unlikely that they will be affected by short-term market instabilities. It is the thought of traders using this style that offset market trends will smooth over time and that their trades are safe in the market.

3 - Avoids Early Exit of Positions

With position trading there are no early exit in positions. With other trading strategies they have to early exit their trades on the market with a loss, position trader a can avoid this problem. Position trading requires a lot of patience so that your trades can reach their potential take profit level.

Similar to other trading styles position trading doesn't come without its risks. The most common drawbacks are:

3.1 - Trend Reversal:

An unexpected trend reversal in an instruments price may result in a significant loss for position traders.

3.2 - Low Liquidity:

The capital of position traders is typically locked up for longer time periods.

3.3.3 - Approaches for Position Traders

Position trading generally utilizes both fundamental and technical analysis.

Nonetheless, because this style involves the evaluation of the potential worth of the asset for months ahead fundamental analysis particularly important for these traders.

Technical analysis can be used to identify trends that will allow profit earnings. Additionally, it aims to identify patterns and provide warning signals of potential trend reversals.

3.3.4 - Useful Indicators for Position Traders

On the technical front, position traders use long-term indicators to help identify where the trend is currently.

On the technical front, position traders use long-term indicators to identify where the trend is now. Whether it's bullish or bearish, and what the momentum can tell regarding future movements.

The most widely used indicator when approaching the market in the long-term is the 200-day simple moving average. The 200SMA represents the average price over the past 200 days. Traders can evaluate an oversold or overbought market by relying on the 200SMA. This works well in combination with the moving average convergence divergence indicator (MACD).

Additionally, traders can use 50-day and 100-day moving averages to smooth out price trends on a shorter-term price fluctuation. Some traders also employ support and resistance levels in their approach to spot long-term trends prior to formation.

3.3.5 - Learning from the Greats

Trading mogul, Warren Buffet who has succeed in ways that most can only dream of is the first trader that comes to mind when thinking about the most prosperous traders executing long-term trades. Not only is Buffet one of the most successful traders of all time he is one of the wealthiest men in the world. Nevertheless, what lessons can be gleaned from the “Oracle of Omaha”.

“Risk comes from not knowing what you are doing.” Buffet places tremendous value in taking the time to read and think daily. He counsels the importance of educated decisions where others are blowing a hole in their investments by taking impulsive actions. Take your time, make informed decisions and this can reduce the risk of the investment.

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3.4 - Swing Trading

3.4.1 - What is Swing Trading

If we think of physics, where mass times velocity determines the momentum of an object. Now, taking the financial markets, momentum is determined by factors such as trading volume and the rate of price movement. Swing trading also known as momentum trading is a strategy that focuses on identifying medium-term trends. Swing Traders usually only enter the market when they believe they have an almost 100% probability of winning.

So, if you are a fluid decision maker and an individual with a tough work schedule with little time to glue yourself to the markets then this strategy could be for you.

3.4.2 - How Swing Trading Works

Swing Traders use fundamental and technical analysis to catch the most substantial price movements and avoid trading at idle times. It is mostly a medium-term trading style that allows the trader to look for profit opportunities in market upswings and downswings. It requires the holding of positions for more than one trading session typically for several days, weeks or sometimes even months, thus, it requires the patience to see trades through even when price plays out of your favour. Swing trading assumes large price moves and therefore requires a well-judged position size management to minimize downside risks.

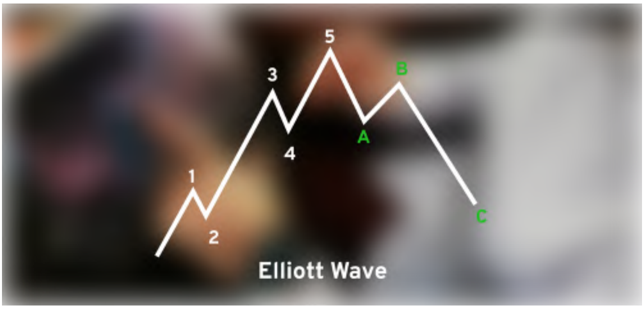
3.4.3 - Pros & Cons of Swing Trading

Pros	Cons
Requires less time than other styles such as day trading	Subject to Overnight and Weekend Price Gaps
A trader profits by capitalizing on the market swings in the short term – returns of around 5-10%	Unexpected trend reversal can lead to substantial loss
Less pressure & more time to analyse the markets and make trading decisions	Possibility of missing longer-term trends in favour of short-term market moves
Better risk control	Market timing can be difficult, particularly for the novice

3.4.4 - Swing Trading Strategy Indicators

Swing traders depend on indicators to help them identify potential swing patterns. Both indicators and patterns can help identify tops, bottoms, support and resistance, and reversal levels.

A well-known pattern for swing or momentum trading is the Elliott Wave. It consists of a five-wave structure that defines the uptrend, followed by an ABC wave that identifies the start of the downtrend.



Another useful indicator used by swing traders to identify opportunities is the Fibonacci retracement model. It helps to recognize support and resistance levels, which are horizontal lines representing the percentages of the trend: 23.6%, 38.2%, and 61.8%, or the golden ratio. The aim is to see if price will bounce off or break out of any retracement levels.

3.4.5 - Learning from the Greats

Well known swing traders are two and far between but one man that comes to mind is author of The Master Swing Trader, Alan Farley. Farley's swing trading strategies earned him a lot and he is now renowned for sharing different tactics and techniques to help other swing traders succeed.

4 - Understanding the Trend

4.1 - What is Trend Trading

Trend trading in a sense does exactly what it says on the tin, follows a trend. It involves traders waiting until a defined trend has been established before making the trade. Trend trading can be done in two ways; 1) by following behavior, meaning a trader buys or sells an asset if its trending higher or lower or 2) done on different timeframes, so, whether you are trading in the short, medium, or long-term trend trading can help stack the odds in your favor.

4.2 - Is the Trend your Friend?

The path to success in trend trading is rarely a straight one. Most traders can admit that there is no single trading strategy with a 100% profit rate. It is for this reason that traders need to be observant of anything that can enrich their chances of taking winning positions. The trend can do just that. Trend trading can help traders take day-to-day volatility in their stride preventing them getting caught up in short-term market fluctuations.

Furthermore, we live in an imperfect world, traders will observe pitfalls in their strategies. Trend following is an easy way to cover up these imperfections by examining patterns and identifying the strongest trends across markets.

4.3 - Trend Trading & Pullback

A pullback, sometimes referred to as a retracement is a pause or moderate drop in an existing or ongoing market trend.

But what does it tell you? A pullback can be seen as a buying opportunity after a large move in the direction of a trend. It is common that the price retracts to a median level after the impulse move. Furthermore, most pullbacks consist of an instruments price moving to an area of technical support such as moving average or pivot point before continuing their uptrend. Nonetheless, a breakdown from the areas of support could signal a reversal and not a pullback so traders should carefully monitor the key areas of support.

4.4 - How to Identify a Trend

To define the direction of a trend traders can use various forms of technical analysis, trendlines and indicators. Market trends are determined by analyzing and comparing historical data. A trend line is a technical analysis tool used to illustrate where two or more points connect.

An **upward trend** will have a positive slope and are formed when a series of low points connect. Characteristically the second low is greater than the first.

A **downward trend** occurs when the second high is lower than the first and so lead to a negative sloped formed by a series of high points.

It isn't advised to trade against trends, especially if you are new to trading. Unless you have acquired the patience and financial resilience to stick to a long-term plan, don't bet against the main forces of market momentum.

4.5 - Top Trend Indicators

1 - The Moving Average

To help determine the direction of a trade, traders frequently use the moving average as part of their technical analysis. In layman's terms, the moving average is the average rate overtime, and it is calculated by adding all closing prices within a given period and dividing the total by the number of days. Two of the most prominent with candles are the 50-day and 200-day moving average.

2 - The Relative Strength Index (RSI)

The RSI is a momentum indicator that gives a clear indication of the magnitude of recent price changes. The RSI value is between 0 and 100, if the value is 30 or lower the asset is oversold and typically given a buy recommendation. Whereas if the value is 70 or higher this indicates that it is oversold, here traders are advised to sell. However, in a situation where the RSI holds a position over a period without the projected rise or fall this implies a trend.

3 - The Average Directional Index (ADX)

Irrespective of an ascending or descending trend the ADX indicator helps assess the strength of a trend. This indicator ranges between 0 and 100 but rarely surpasses 70. The basic understanding is that values above 20 mean a trend is occurring and the higher that value the stronger the trend.

4.6 - Learning from the Greats

George Soros not only is he one of the biggest trend followers the market has been privy to he is one of the greatest traders of all time and the 30th richest person in the world. Known as the “man who broke the Bank of England”, George Soros’ claim to fame came in 1992 when he made a profit of $1 billion by shortening the British pound.

Interestingly, he secured his fortune in its entirety without any preliminary capital or fund. Extensive research and what he describes as a “seat of the pants” approach allowed him to place big bets on investments, irrespective of rising or falling values. This strategy has been known to cause fluctuations in market prices, particularly when it comes to currencies.

5 - Technical vs Fundamental Analysis

The analysis of the markets be it Stocks, Commodities or Forex can be broken down into two; technical analysis (price action) and fundamental analysis (economic / social action).

5.1 What is Fundamental Analysis

Fundamental analysis involves assessing related economic and financial data and their impact on an assets intrinsic value. For instance, fundamental Forex traders will use data points to determine the strength of a currency. Factors that can cause volatility within the markets include inflation, trade balance, GDP, employment data and global health or environmental disasters.

In the below example we can see a recent ECB announcement and its impact across EUR/USD. In the hours following the publication of the press release the major saw a swing of over 65 pips and created the potential for traders to earn up to $650 per lot traded if they entered and exited the position on time.

5.2 - What is Technical Analysis?

Technical analysis involves pattern recognition in a security's price history. Focused solely on price and volume, factors such as news, balance sheets or political events won't have an affect. The analysis can be based on chart patterns, mathematical indicators or combinations of the two. When carrying out technical analysis traders Technical will look for patterns such as triangles, flags, and double bottoms. Based on these patterns, traders can determine when to enter and exit positions. The most widely used patterns for technical analysis are head and shoulders and double top.

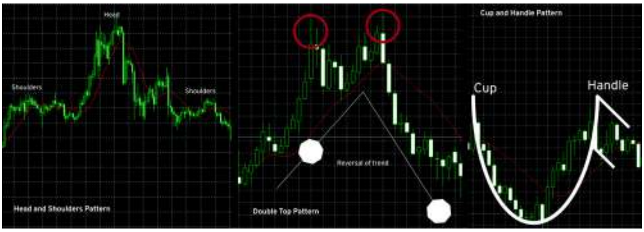


Fig: Common Technical Analysis Patterns

Unlike fundamental analysis technical traders are not concerned about why price movements happen as they use trends and patterns examined in their charts as their signals.

Charts allow technical traders to assess price action, trend and support and resistance. With Forex technical analysis traders make use of indicators and oscillators that are added to a price chart. Common tools include moving averages, Bollinger Bands, Moving Average Convergence Divergence (MACD) or Relative Strength Index (RSI). Some of which we have explained above:

1 - Moving Average Convergence/Divergence line (MACD)

The moving averages help signal trends and momentum. The MACD lines enable the trader to analyze an asset's price trend. Thus, establishing its movement, strength, and direction.

2 - Bollinger Bands

In the early 1980s, John Bollinger developed the now-famous trading analysis tool. Bollinger Bands work to indicate the volatility of the market in a given period. The top and bottom bands identify the price, and the middle band represents the moving average. Moreover, the stock price moves between the upper and lower bands, and depending on the level of volatility, the lines will widen or reduce.

5.3 Technical Analysis vs Fundamental Analysis: Which Triumphs?

Fundamental and technical analysis involve very different approaches to examining the market, both offering unique value and insight to support trader's informed decisions. The longstanding debate over which is a better technique is contentious. While advocates of each type of analysis often like to use both separately based on their own distinctive trading style many others combine both getting the best of both worlds.

Fundamental analysis is best suited for long-term investments while technical analysis is more useful for the short-term. Here we try to break down the differences more clearly so traders can get a better understanding in terms of goals, affecting factors, analysis/tools, popular indicators, time, trading style and ease of use.

Concepts	Fundamental Analysis	Technical Analysis
Goals	Foresee the big picture market direction of price moves	Analyse patterns to predict direction and scale of future price movements and better refine trade entry and exit points.
Affecting Factors	Trends, Trend Reversals & Ranges	Interest & Inflation, GDP & Economic Growth Rates, Employment Data, Trade Balance & Debt Overhang
Analysis / Tools	Trend indicators, Range Identifying Oscillators & Chart Patterns	Economic Calendar Events & Key Economic Factors, Indicators or Data
Popular Indicators	Moving Averages, MACD, Bollinger Bands, Candlestick Patterns, Trend Lines & Fibonacci Retracement Lines	Interest & Inflation, GDP & Economic Growth Rates, Employment Data, Trade Balance & Debt Overhang
Timeframe	Usually used to trade shorter, intraday timeframes but since patterns are fractal it is possible to see the same patterns on different timeframes.	Long-term approach
Trading Style	Day & Swing Traders	Swing & Position Traders
Ease of Use	Technical analysis may seem daunting, but it doesn't need to be! Depending on the timeframes & indicators traders choose this can become more complex. Generally, the smaller the time horizon the faster analysis is required. Traders should try to not overuse indicators, meaning the more you use the more complicated the process, particularly in a situation where you are forced to interpret these indicator combinations.	Fundamental analysis is neither difficult nor easy. As interesting as market events can be it can be overwhelming to decipher the magnitude of news that pours out daily. Choose your battles and pay particular attention to big events or those events that are directly affecting your favourite assets.

5.4 The Dynamic Duo: Using Fundamental & Technical Analysis Together

Fundamental and technical analysis can be combined to provide a more holistic strategy. Irrespective of their differences blending the two can offer positive benefits. Technical analysis is an extremely powerful tool that helps traders analyze the markets, but it is important to note the role fundamentals plays in the broader picture. There are several ways in which these two tools can be used effectively together:

1 - Range bound Trading & Fundamental Analysis

Range bound trading is an active strategy that identifies a range in which a trader may buy or sell an asset at over a short period. For instance, EUR/USD is trading at 1.213 and you believe it's going to rise to 1.215 then trade in a range between 1.213 and 1.215 over the next couple of weeks.

With range bound trading the aim is to buy at the lower trendline support and sell at the higher trendline resistance. However, it is possible that news/events can disrupt a range bound market, in this case traders are advised to avoid open trades around the time of the announcement or news release.

2 - Breakout Trading & Fundamental Analysis

A breakout trading strategy is where traders look for levels that an asset has been unable to move beyond and waits for it to "breakout" beyond those levels.

News & market events are known to add volatility in the market, and this can pierce support and/or resistance with which traders are using to set their stops and for this reason traders should remain cautious around these events. Nevertheless, they can still look to gain from overreactions to news. In these instances, traders can wait for the data release to stir price to reach support and/or resistance and once this is achieved traders could buy or sell accordingly.

6 - Other Trading Strategies Every Trader Should Know

6.1 - Event-Driven Trading Strategy

The event-driven trading strategy is a trading style that focuses solely on market news and events. Anything news-related that can contribute to the development of a market, this strategy wants to exploit it. The event-driven strategy aims to seize any move of the market by acting upon the release of market-moving data.

The market inefficiencies are most visible by indicators such as news, events, and data. They will define where the market currently stands in terms of value and is this current stand adequate in relation to market expectations. For example, the announcement that the unemployment rate has risen from 7.5% to 10.5% indicates a slowing economy. It is not up to the expectations for growth, so it acts as a signal that the treasury yields will most likely depreciate. Therefore, a trader may use this data as a sell signal in the treasury yield. In other words, traders who employ an event-driven trading strategy will rely on economic news to make their decisions.

6.1.1 What Should you Trade with an Event-Driven Strategy?

A trader can apply an event-driven trading strategy on any liquid market such as currencies, equities, fixed income, and derivatives. Every asset class has its focus points that are closely monitored by event-driven traders. These may include mergers and acquisitions in corporate and business, earnings reports, restructuring, share buybacks, special events such as product reveals, and any other action that may impact the stock price. Negative turn of events such as revelations of a company’s fraudulent practices or misconduct are also catalysts that can influence the worth of a company.

On a larger scale, economic indicators that may impact the broad markets include unemployment rates, interest rate changes, quantitative easing, etc. They are a crucial measurement of the health of the overall global economy, or any local economy, and thus closely observed by traders and investors who employ the event-driven strategy. Other examples of macroeconomic indicators are elections, regulations, government changes, referendum results such as the Brexit decision, etc.

It's also important to note that natural disasters and unforeseen events in politics, the economy, and the overall global environment also fall under the category of events that directly affect the markets.

The event-driven trading strategy requires a heavy dose of focus and concentration due to the large volumes of data and news to digest. While this strategy certainly presents trading opportunities that can lead to financial success, the challenges lay in closely following developments and interpreting data correctly, followed by prompt action at the right time.

6.2 Global Macro Trading Strategy

The global macro strategy aims to cover the development of the markets from the broadest perspective. This trading strategy is based on the inclusion of macroeconomic events from all over the world down to a regional scale. Macro traders work with sophisticated data coming in from various sources to analyze and forecast global trends for the long-term.

A global macro strategy is perhaps the most comprehensive and inclusive strategy in the market. Macro traders rely a great deal on diversifying their portfolio so that it will have exposure to a large number of markets to provide stability and growth while minimizing risk. Some macro traders, however, will look anywhere to find a few stocks or currencies that will deliver the return they need.

6.2.1 Trading Macro is to Trade Actively

It revolves around the idea of trying to figure out what the market will look like in a certain period, usually years ahead. It is a long-term approach to the market, and before taking a position, traders need to look at least a few months in the future to predict and project how the trend will form. This trading style requires almost constant connection and involvement with the markets as they are constantly moving, and there are always developments to follow.

Traders and investors who want to trade global macro need to focus on the four main asset classes: equities, currencies, fixed income, and commodities. Because these assets have their own nature, behavior, and style of trading, the global macro trader needs to be equipped with a diverse set of skills if they are to read the market correctly and make proper investment decisions. To do that, macro traders need to design a multi-asset class strategy that consists of portfolio construction, risk assessment, a well-defined business model, and a disciplined investment process.

Global macro trading takes into consideration both technical and fundamental analysis. The combination of both factors allows for a better understanding of the current state and projected growth of any market or asset. For example, macro traders pay close attention to interest rates, politics, currency rates, monetary policies, and economic development, and they try to figure out how all these factors will play out in the future. More precisely, macro traders believe that the present is already baked into the price, and they try to think ahead and visualize, say 18-24 months from now, where the world is going to be and the level of what assets or markets may trade.

Being a macro trader is a demanding and responsible task that requires the trader to develop a global perspective while remaining independent in their thinking. As global macro trader and hedge fund manager Ray Dalio says, “to make money in the markets, you have to think independently and be humble.”

6.3 - End-of-Day Trading Strategy

The only thing we can control in trading is ourselves. End-of-Day-Trading can be a good way of avoiding emotional trading and as a result help to take back control yourself and avoid being dominated by the markets.

6.3.1 What is End-of-Day Trading?

In trading, timing is everything. End-of-day trading is a strategy where traders choose to place trade orders near the close of markets. End-of-day traders become active when it becomes clear that the price is going to 'settle' or close. Advanced end-of-day traders prefer to analyze the market, strategize during the day, and act before the market closes.

This strategy requires traders to examine price action in comparison to price movements that occurred in the previous day's trading session. From here they can speculate how price can move based on price action and decide on any indicators that they are using in their approach. With end-of-day trading risk management will be a trader's best friend, setting orders such as a limit order, a stop-loss order and a take-profit order will help reduce overnight perils. As this style only requires traders to study charts at their opening and closing times, it requires less time commitment than other strategies.

6.3.2 The Only Loss You Need is a Stop-Loss

You have no doubt seen the phrase "Always use a stop loss, and stick to it". This is a true statement. If you are serious about staying in the game for the long-haul setting stop orders are imperative.

Stop losses help to mitigate large and uncontrollable losses in volatile trades. Traders can set stop orders as either fixed-value or they can change relative to price movement (trailing stops). Once you have decided on your position and placed corresponding stop entry or limit entry orders, the next step in your end-of-day strategy will be to place orders for each position you have opened.

5.3.3 Pros & Cons of End-of-Day Trading?

Pros	Cons
Cut the Noise: End of day traders trade when the markets are closing, this can mean less distraction from news, announcements or anything else that might affect price movement.	**Overnight Risk** Trading when larger markets sleep puts traders at risk to overnight market developments.
Suitable for Most Traders This strategy can be good for those starting out in the financial space as there is need to enter multiple positions.	**Risk Management** With other strategies such as day trading you have a constant watch on the markets with end-of-day that's not the case. Traders can either make huge profits or their stops can be triggered even before they had a chance to adjust your risks.
Have a Side Hustle With most of your analysis occurring when the rest of the markets are closed traders can trade part-time with no interference to their regular job.	**Lower Liquidity** When markets are closed there is lower liquidity, meaning there is a chance that your limit orders won't trigger when traders want them to.
Less Time Commitments Traders can analyze charts and place market orders either in the morning or at night, so it can be significantly less time consuming in comparison to other strategies.	**Black Swan Events** With this strategy it is common that your traders go unnurtured throughout the day meaning any unpredictable events can easily cause unforgiven losses.
Master the act of discipline With end of day trading, you are utilizing just a few hours a day to analyze the markets, less distractions means more time to focus and ace your trading plan.	

7 - Conclusion

Selecting a trading strategy doesn't have to complicated, ultimately, it's up to you to decide. When it comes to trading strategies, they can all be successful under different market conditions. Nevertheless, some important factors to consider are personality type, lifestyle, level of discipline, capital available, risk tolerance and available resources.

Moreover, consistent success can be attributed to, mind, money, and method and while this guide focuses mainly on method every strategy needs a balance of all 3. Incorporating the right trading psychology and managing your money into a well-oiled strategy will give you a holistic approach and will only enhance your success.

We hope that this playbook has helped provide an in-depth understanding of the different trading tactics available. Now why not try them with unrivalled trading conditions. Not only do OspreyFX offer 24/7 support, traders also have access to distinctive trading & educational resources. By providing traders with the correct tools, we allow them trade with better insight. So, traders with OspreyFX can:

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